EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Lasam, Province of Cagayan was once part of the town of Gattaran, It became a town through a bill introduced by Congressman Paulino Alonzo of the 2nd District of Cagayan. It was named after the late Governor Hilario Lasam and was inaugurated on July 1, 1952. Lasam is now classified as a third (3rd) class municipality. It is composed of thirty (30) barangays.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Lasam for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Lasam, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase/ (Decrease)
Financial Position			
Assets	525,408,309.27	482,214,753.54	43,193,555.73
Liabilities	49,080,529.86	72,181,102.09	(23,100,572.23)
Government Equity	476,327,779.41	410,033,651.45	66,294,127.96
Financial Performance			
Income	182,837,933.19	183,835,708.00	(997,774.81)
Expense	138,290,037.21	127,067,025.59	11,223,011.62
Appropriations, Allotments and Obligation			
Appropriations	195,000,000.00	144,400,000.00	50,600,000.00
Allotments	195,000,000.00	144,400,000.00	50,600,000.00
Obligations	165,288,596.65	122,835,670.14	42,452,926.51

C. Independent Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Lasam, Cagayan for the year-ended December 31, 2021 due to the following:

1. The accuracy and reliability of the reported balance of Property, Plant and Equipment account amounting to P352,300,318.68 as at December 31, 2021 cannot be determined due to: (1) non-conduct of physical count of all items of PPE; (2) non-maintenance of Property Cards and PPE Ledger Cards for PPE; and (3) non-conduct of the one-time cleansing procedures in its physical inventory, which are contrary to COA Circular 2020-006 dated January 31, 2020 and Sections 114 and 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

2. The accuracy and reliability of the Road Networks account balance totaling P107,829,340.73 as at December 31, 2021 cannot be established due to: (1) incomplete Report on the Physical Count of Local Road Network; (2) absence of Local Road Network Property Cards for all local roads; (3) non-maintenance of Local Road Network Ledger Cards and subsidiary records for roads and its components; and (4) lack of disclosure in the Notes to Financial Statements on the total road network system, which are contrary to COA Circular No. 2015-008 dated November 23, 2015, thus, affect the reliability and fair presentation of the account in the financial statements.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The Municipality failed to adopt an effective monitoring scheme in the submission of liquidation reports on the financial assistance to barangays - Due from LGUs, resulting in the accumulation of unsettled or unliquidated balances totaling to P4,631,318.92 as of December 31, 2021, which is contrary to COA Circular No. 2012-001 dated June 14, 2012, thus, affecting the fair presentation of the account in the financial statements.

   We recommended that the Management instruct the Municipal Accountant to:

   a.) Require the concerned barangays to submit immediately the liquidation reports of their past due accounts in the total amount of P4,426,318.92, otherwise these will be suspended in audit;

   b.) Assign a person responsible/in-charge in monitoring the submission of liquidation reports due for submission and issue demand letters to concerned barangays who fail to comply. This will ensure immediate submission of

liquidation reports after the purpose/s for which it was granted has been served or completed;

c.) Not to allow the payment of fund transfer unless the required certification that previous fund transfers have already been liquidated or accounted for, thus avoiding accumulation of past due accounts pursuant to Section 3.1.1 of COA Circular No. 2012-001 dated June 14, 2012; and

d.) Make an adjustment on the erroneous recording of fund transfers to Public Schools, PNP and Liga Ng Mga Barangays, recorded under the Due from LGUs account instead of Due from NGAs and Due from NGOs/POs account, with the following entries:

Due from NGAs	45,000.00	
Due from NGOs/POs	50,000.00	
Due from LGUs		95,000.00

2. Fund Transfers from the DOH for payment of COVID-19 Active Hazard Duty Pay amounting to P1,040,181.00 were not supported with the required supporting documents, contrary to Section 4(6) of the Presidential Decree No. 1445 and DBM-DOH Joint Circular No. 1 dated November 25, 2020, hence, the propriety and validity on the grant of the said allowance cannot be ascertained.

   We recommended that the Management submit the above-enumerated documents to the Auditor and, henceforth, ensure that payments for the AHDP are supported with relevant and pertinent documents pursuant to Section 4 of PD 1445 to establish compliance with the conditions set under the DBM – DOH Joint Circular No. 1, s. 2020 dated November 25, 2020.

E. Summary of Total Suspension, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	679,640.45	-	-	679,640.45	-
Current Year	-	-	-	-	-
Total	**679,640.45**	-	-	**679,640.45**	-
Disallowances					
Prior Years	16,951,512.13	-	-	16,951,512.13	-
Current Year	-	-	-	-	-
Total	**16,951,512.13**	-	-	**16,951,512.13**	-
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the nine (9) audit recommendations embodied in the CY 2020 Annual Audit Report, five (5) were fully implemented and four (4) were not implemented and reiterated in Part II of this Report.